



Divisional structure

Some companies arrange their staff into divisions devoted to a specific product or market. Each division is a self-sufficient team employing the personnel for the various functions within it.

How it works

Under the overall control of a CEO or president, several divisions work alongside one another to design, research, produce, and sell a particular product, or to service a specific market. Each division runs its own specialized functions, such as operations and production, sales and marketing, and finance. A company may arrange its divisions according to the types of product it makes, the regions in which it operates, or the customers to whom it sells. Large companies may adopt hybrid structures—by product and geography, for example.

DIVISIONAL: PROS AND CONS

Pros

- › If one division fails, there is no threat to the rest of the business
- › Can respond quickly to changes in the market
- › Focused on customer needs
- › Performance of each division clearly measurable

Cons

- › Duplicating resources—for example, each division employing finance personnel
- › Lack of expertise-sharing between divisions
- › Career path for staff restricted
- › Heightened sense of competition among divisions

Division by geography

For businesses with products that need to be adapted to local markets, an organization can be structured according to each of the regional markets it serves. These may be domestic or international. Print technology and services company Xerox has successfully adopted this structure (*see case study, right*).



North America

The company's main market

Division by product

Businesses selling different types of products may pick a structure by which each division handles one category. Fast-food chain McDonald's has been organized by product division.

